IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 15/BB/2018

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 25th March, 2019

IN THE MATTER OF SCHEME OF AMALGAMATION

OF

STRUMSOFT INDIA PRIVATE LMITED

AND

RAZORSIGHT SOFTWARE PRIVATE LIMITED

AND

SINGLETUST SOLUTIONS INDIA PRIVATE LIMITED

WITH

SYNOCHRONOSS TECHNOLOGIES INDIA PRIVATE LIMITED

Coram: 1. Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Strumsoft India Private Limited,
Registered office at 1670, 18th cross,
M.C. Layout, Vijayanagar,
Bangalore – 560 040 --- **Petitioner No. 1/First Transferor Company**

Razorsight Software Private Limited,
Registered office at Elixir # 100,
4th B Cross, 5th Block,
Koramangala Industrial Layout,
Bangalore – 560 095 --- **Petitioner No. 2/Second Transferor Company**

Singletusk Solutions India Private Ltd,
Registered office at A Wing, 3rd Floor,
Divyashree Chambers 11,
O Shaughnessy Road,
Bangalore – 560 025 --- **Petitioner No. 3/Third Transferor Company**

Synchronoss Technolgoies India Private Ltd,
Registered office at 6th & 7th Floor,
Subramanya Arcade, Tower B, No.12,
Bannerghatta Road,
Bangalore – 560 029 --- **Petitioner No. 4/ Transferee Company**

Parties Present

For the Petitioner: Ms. Priya Jaiswal, Shri Kumar H D
Shri Mohammed Arif Khan Makki & Ms. Revathi J.D.

For ROC: Chandrashekar L

Per: **Hon'ble Shri Ashok Kumar Mishra, Member (Technical)**

ORDER

1. The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation and Arrangement of Strumsoft India Private Limited and Razorsight Software Private Limited and Singletusk Solutions India Private Limited with Synchronoss Technologies India Private Limited so as to be binding on all their Equity Shareholders, Secured Creditors and Unsecured Creditors.

2. The averments made in the Company Petition are briefly described hereunder:-

   A. The Petitioner Companies seeks an order for sanctioning the Scheme so as to be binding in terms thereof on the Petitioners Companies and their respective shareholder and creditors. The Scheme of Amalgamation is shown as **Annexure F.**

   B. The Petitioner No.1/First Transferor Company was incorporated on 02.01.2009 under the Companies Act, 1956 bearing CIN U72200KA2009PTC048789. The Registered office of the Petitioner No.1/First Transferor Company is situated at 1670. 18th Cross, M.C.Layout, Vijayanagar, Bangalore – 560 040.

   C. The object of the Petitioner No.1/First Transferor Company as set out in its Memorandum of Association is as follows:

   "To carry on in India or elsewhere the business of software development, data processing, validation and procure of software and to engage in the purchase, sale, transfer, import, export, distribution, acquisition, operation, assemble, installation, development, programming, research, testing, training, education, maintenance, recording, alteration, conversion, improvement, up gradation and

provisions of consultancy services relating to software development and data processing."

The Copy of the Memorandum & Articles of Association of the Petitioner No.1/First Transferor Company is shown in **Annexure-A.**

D. The authorised share capital of the Petitioner No.1/First Transferor Company as on 31.03.2016 is Rs. 5,00,000/- divided into 50,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Petitioner No.1/First Transferor Company as on 31.03.2016 is Rs. 1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The Copy of Audited Financials of the Petitioner No.1/First Transferor Company as on 31st March, 2016 and the provisional balance sheet as on 31st March 2017 is shown in **Annexure-A1 & A2.** A copy of Audited Financials of the Petitioner No.1/First Transferor Company as on 31st March, 2017 is submitted vide compliance memo dated 7th March, 2018.

E. The Petitioner No. 2/Second Transferor Company was incorporated on 17.06.2004 under the Companies Act, 1956 bearing CIN U72200KA2004PTC045393. The Registered office of the Petitioner No. 2/Second Transferor Company is situated at NA Elixir # 100, 4th B Cross, 5th Block, Koramangala Industrial Layout, Bangalore – 560 095.

F. The object of the Petitioner No. 2/Second Transferor Company as set out in its Memorandum of Association is as follows:

"To carry on the business of designing, developing and implementing software systems, program and solutions for India and foreign clients, as well as provide consultancy for overall system designing, developing and implementation."

The Copy of the Memorandum & Articles of Association of the Petitioner No. 2/Second Transferor Company is shown in **Annexure-B.**

G. The latest authorised share capital of the Petitioner No. 2/Second Transferor Company as on 31.03.2016 is Rs. 5,00,000/- divided into 50,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Petitioner

No.1/Transferor Company as on 31.03.2016 is Rs. 1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The Copy of Audited Financials of the Petitioner No. 2/Second Transferor Company as on 31st March, 2016 and the provisional balance sheet as on 31st March, 2017 is shown in **Annexure-B1 & B2.** A copy of Audited Financials of the Petitioner No. 2/Second Transferor Company as on 31st March, 2017 is submitted vide compliance memo dated 7th March, 2018.

H. The Petitioner No. 3/Third Transferor Company was incorporated on 12.07.2004 under the Companies Act, 1956 bearing CIN U72200KA2004PTC034316. The Registered office of the Petitioner No. 3/Third Transferor Company is situated at A Wing, 3rd Floor, Divyashree Chambers 11, O Shaughnessy Road, Bangalore – 560 025.

I. The object of the Petitioner No. 3/Third Transferor Company as set out in its Memorandum of Association is as follows:

"To promote, encourage, establish, design, develop, maintain, manage, operate, market and sell in India or abroad the business or software development and implementation."

The Copy of the Memorandum & Articles of Association of Petitioner No. 3/Third Transferor Company is shown in **Annexure-C.**

J. The authorised share capital of the Petitioner No. 3/Third Transferor Company as on 31st March, 2016 is Rs. 5,00,000/- divided into 50,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Petitioner No. 3/Third Transferor Company is Rs. 1,00,000/- divided into 10,000 Equity Shares of Rs.10/- each. The Copy of Audited Financials of the Petitioner No. 3/Third Transferor Company as on 31st March, 2016 and the provisional balance sheet as on 31st March, 2017 is shown in **Annexure-C1 & C2.** A copy of Audited Financials of the Petitioner No. 3/Third Transferor Company as on 31st March, 2017 is submitted vide compliance memo dated 7th March, 2018.

K. The Petitioner No. 4/Transferee Company was incorporated on 02.07.1999 under the Companies Act, 1956 bearing CIN U72200KA1999FTC025412. The Registered office of the Petitioner No. 4/Transferee Company is situated at 6th &

7th Floor, Subramanya Arcade, Tower B, No.12, Bannerghatta Road, Bangalore – 560 029.

L. The object of the Petitioner No. 4/Transferee Company as set out in its Memorandum of Association is inter alia as follows:

"To carry out software development, data processing and procure software and to engage in the purchase, sale, transfer, import, export, distribution, acquisition, marketing, hire, license, use, disposal, operation, assembly, installation, development, programming, research, testing, training, education, maintenance, recording, alteration, conversion, improvement, up gradation, provisions of consultancy services relating to software development and data processing."

The Copy of the Memorandum & Articles of Association of Petitioner No. 4/Transferee Company is shown in **Annexure-D.**

M. The latest authorised share capital of the Petitioner No. 4/Transferee Company as on 31.03.2016 is Rs. 10,00,000/- divided into 1,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Petitioner No. 4/Transferee Company is Rs. 86,67,170/- divided into 8,66,717 Equity Shares of Rs.10/- each. The Copy of Audited Financials of the Petitioner No. 4/Transferee Company as on 31st March, 2017 and the provisional balance sheet as on 31st December 2018 is shown in **Annexure-D1 & D2.** A copy of Audited Financials of the Petitioner No. 4/ Transferee Company as on 31st March, 2017 is submitted vide compliance memo dated 7th March, 2018.

N. The Board of Directors of all the Petitioner Companies have approved and adopted the Scheme of Amalgamation at its respective meeting held on 01.04.2017 at the respective registered addresses. The copies of the Board Resolutions of the Petitioner Companies are shown in **Annexure – E, E1, E2 & E3 respectively.**

O. The Chartered Accountants, Suresh Surana & Associated LLP, the Statutory Auditor of the Petitioner No. 4/Transferee Company have issued a certificate certifying the accounting treatment provided for in the scheme is in conformity with the accounting standards specified under Section 133 of the Companies Act,

2013 and other Generally Accepted Accounting Principles. The copy of certificate is shown in Annexure-F of compliance memo dated 7th March, 2018.

P. The Petitioner Companies had filed a join Company Application (CAA) 77/BB/2017 before this Tribunal for dispensation of the meetings of Equity Shareholders and Creditors of the Petitioner Companies. This Tribunal vide its orders dated 19.12.2017 allowed the Application and dispensed with convening of meetings of Equity Shareholders and Creditors of the Petitioner Company. The Copy of the Order of this Tribunal in CA (CAA) 77/BB/2018 is shown as **Annexure- G.**

3. This Tribunal vide order dated 22.03.2018 directed the Petitioners Company to issue Notice to all relevant statutory authorities including Income Tax Authorities, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**Udayavani**' a Kannada daily Newspaper.

4. In pursuant to the same the Counsel for the Petitioner Companies has filed a memo dated **27.04.2018** for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Udayavani**' a Kannada daily Newspaper**.** Further, the counsel for the Petitioner Companies has filed memo dated 7th May, 2018 evidencing the proof of service of notice on the statutory authorities.

5. The Registrar of Companies, Karnataka vide Letter bearing No. ROCB/LEGAL/CP(CAA) No. 15/BB/2018 dated 20th August, 2018 has submitted a report making the following observations:

A. The Transferor Companies 1,2 & 3 and Transferee Company have filed annual returns and balance sheet, financial statements up to the financial year ended on 31.03.2017.

B. As per Section 232 (6) of Companies Act, 2013, the scheme shall clearly indicate date from which it shall be effective. Though in the scheme appointed date is mentioned as 01.04.2016, no effective date is mentioned.

C. As per the balance Sheet as at 31.3.2016 the Transferor Company No.1, Transferor Company No.2 and Transferor Company No3. And the Transferee Company have Related party transactions. Necessary compliance under section 188 of the Companies Act 2013 is required.

D. As per Balance Sheet at 31.3.2016 and 31.3.2017 the Transferee Company has to spend Rs. 28, 58, 900/- and Rs.42, 56,527/- respectively under CSR as per Section 135 of Companies Act, 2013. However the Company has spent only Rs.22,00,000/- during 2016-17. How the company has complied under Section 135 read with the rule made thereon to be explained.

E. The Auditors reports for 2016-17 stated that the Transferee Company has an outstanding liability aggregating to Rs.13, 28, 74, 249/- as at 31.3.2017 towards reimbursement of ESOP cost to Synchronoss Technologies Inc, USA, holding company. These amounts have remained outstanding beyond the period stipulated by FEMA guidelines. In this regard the company may be directed to give clarification.

F. Transferor Companies 2 & 3 have foreign shareholders. Hence Transferee Company has to comply necessary FEMA/RBI guidelines, while issuing shares to the shareholders of Transferor Companies 2 & 3.

G. Neither the Transferor Companies nor the Transferee Company have filed GNL-1 attaching the scheme of Amalgamation. Hence the companies may be directed to file the same before the approval of the scheme.

H. As per Clause 12.1 it is stated that no payment of any extra stamp duty and/or fee shall be payable by the Transferee Company for increase in its authorised share capital. In this regard, the Transferee Company shall comply section 232 (3) (i) of Companies Act, 2013, and pay the difference fee after setting of the fee already paid by the Transferor Companies.

I. There are no prosecutions, complaints, technical scrutiny/inspections pending in this office against the petitioners companies.

J. The appointed date as per scheme is effective from 01.04.2016, more than 2 ½ year has been elapsed. Need amendment on the appointment date and so effective date.

6. The Regional Director, Ministry of Corporate Affairs, South-East Region, Hyderabad represented by Registrar of Companies has filed Additional Affidavit dated 4.12.2018 making some observations:

(a) As per Section 232 (6) of Companies Act, 2013, the scheme shall clearly indicate a date from which it shall be effective. Though in the scheme appointed date is mentioned as 01.04.2016, no effective date is mentioned. The Petitioner Company shall indicate the date clearly in the scheme.

(b) As per the Balance Sheet as at 31.3.2016 the Transferor Company No.1, Transferor Company No.2 and Transferor Company No.3 and the Transferee Company have related party transactions. Necessary compliance under Section 188 of the Companies Act 2013 is required.

(c) As per the Balance Sheet at 31.3.2016 and 31.3.2017 the Transferee Company has to spend Rs. 28, 58, 900/- and Rs. 42, 56, 527/- respectively under CSR as per Section 135 of Companies Act, 2013. However, the company has spent only Rs.22,00,000/- during 2016-17. The Transferee Company shall undertake for necessary compliance under section 135 of the Companies Act, 2013.

(d) The Auditors Reports for 2016-17 stated that the Transferee Company has an outstanding liability aggregating to Rs.13,28,74,249/- as at 31.3.2017 towards reimbursement of ESOP cost to Synchronous Technologies Inc, USA, holding company. These amounts have remained outstanding beyond the period stipulated by FEMA guidelines. The petitioner company shall undertake the compliance of provisions of FEMA, for the above said issue and also for having foreign shareholders.

(e) Neither the Transferor Companies nor the Transferee Company have filed GNL-1 attaching the scheme of amalgamation. Hence the companies shall file the same before the approval of the scheme pursuant to Rule 12 (2) of the companies (Registration offices and Fees) Rules, 2014.

(f) As per Clause 12.1, it is stated that no payment of any extra stamp duty and/or fee shall be payable by the Transferee Company for increase in its authorised share capital. In this regard, the Transferee Company shall comply Section 232 (3) (i) of Companies Act, 2013 and pay the difference fee after setting of the fee already paid by the Transferor Companies.

7. The Authorized Signatory of the Petitioner Company have filed reply Affidavit dated 18th February, 2019 in furnishing response to the affidavit and report of the Registrar of Companies, Karnataka, stating that:

A. Regarding Observation (1) of the RoC: The due date filing the annual return for the financial year 2017-18 is 31st October 2018. The annual returns of all the Petitioner Companies is enclosed to the affidavit.

B. Regarding observation (2) of the RoC: Clause 1.6 of the scheme defines "Effective Date" as the later of the dates on which the certified copy of the Order of this Hon'ble Tribunal sanctioning the scheme are filed with the RoC, by the Transferor Companies and the Transferee Company. Further, as per clause 1.14, any reference in the scheme to "upon the scheme becoming effective" or "effectiveness of the scheme" shall mean the effective date.

Additionally, at the beginning of Clause 2, it has been mentioned that "the scheme set out herein in its present form or with any modification(s) approved or imposed or directed by this Hon'ble Tribunal or made as per Clause 15 of the scheme, shall be effective from the Appointed date, but shall be operative from the Effective Date. As such, the scheme has defined that the scheme will be effective on the effective date with effect from the appointed date.

C. Regarding observation (3) of the RoC: As per Section 188 of the Companies Act, 2013 a Resolution is required to be passed by the Board of Directors for entering into a transaction with any related party with respect to following transaction.

i. Sale, purchase or supply of any goods or materials;
ii. Selling or otherwise disposing of, or buying, property of any kind;
iii. Leasing of property of any kind;
iv. Availing or rendering of any services.

v. Appointment of any agent for purchase or sale of goods, materials services or property
vi. Such related party's appointment to any office or place of profit in the company, its subsidiary company or associate company; and
vii. Underwriting the subscription of any securities or derivatives thereof, of the company

However, in terms of the 3rd Proviso to Section 188 (1) , the provisions of sub-section (1) of Section 188 does not apply to any transactions entered into by the company in its ordinary course of business other than transactions which are not on an arm's length basis.

The transactions entered by the company as on 31st March 2016 are in the ordinary course of business and the said transactions are at arms-length.

However, in exercise of abundant caution, Board Resolutions have been passed approving/ratifying the related party transaction for the Financial Year 2015-16, 2016-17 and 2017-18.

D. Regarding observation (4) of the ROC: As per Section 135 (5) of the companies Act, 2013 if the company fails to spend atleast 2% of the average net profits, the Board shall, in its report made under clause (o) of subsection (3) of Section 134; specify the reasons for not spending.

The non-spending of the requisite CSR amount is explained in the Board Report as under:

"*The Company is in the process of identifying the project in which the amount could be spent and the district/state in which the activities to be carried out*".

Further, the Transferee company hereby undertakes to company with the same in FY 2018-19 by spending the balance amount for the earlier years also.

E. Regarding observation (5) of the ROC: As per Transfer or Issue of any Foreign Security Regulations, 2004, ESOP issued by foreign entity to employees of its India subsidiary for some consideration, that is other than cashless transaction is a permissible transaction.

Further, the transaction is a "current Account Transaction" as defined under the Foreign Exchange Management Act, 1999.

The transaction under consideration does not fall under the category of import payables and falls under "Miscellaneous Remittance". Under Miscellaneous remittance, there is not time period mentioned for settlement of payables

(other than trade payables). Therefore, the Transferee Company has complied with FEMA provisions.

F. Regarding observation (6) of the RoC: As per the Foreign Direct Investment ("FDI") Policy, "government approval would not be required in case of mergers and acquisitions taking place in sectors under automatic route".

In the above case, the transferor and transferee companies are engaged in sectors permissible under automatic route and accordingly, no approval is required.

The Transferee Company shall comply with the post issue filing requirements.

G. Regarding observation (7) of the Roc: GNL-1 is produced as Annexure Q,R,S,T in the reply affidavit filed by Petitioner Companies.

H. Regarding observation (8) of the RoC: The Transferee Company under takes to comply with the provisions of section 232 (3) (i) of the Companies Act,2013 and shall pay the difference fee, if any after setting off, the fee already paid by the Transferor Companies.

I. Regarding observation (9) of the RoC: It is hereby declared that there are no prosecutions, complaints, technical scrutiny/inspection pending against the Petitioner Companies.

J. Regarding observation (10)of the Roc: The Board Resolutions for change/amendment of the Appointed Date from 01.04.2016 to 01.04.2018 in the Scheme, related to each of the Petitioner is produced as Annexure U to X respectively.

With regard to the effective date, as mentioned in the Reply to observation No.1, the effective date will be the later of the dates on which the certified or authenticated copy of the order of this Hon'ble Tribunal, sanctioning the scheme is filed with the RoC by the Transferor Companies and Transferee Company.

Further, the scheme will be effective from the appointed date. As such, there would be no requirement to amend the effective date.

8. The Official Liquidator pursuant to the order dated 07.05.2018 of this Tribunal in OLR No. 59/2018 engaged M/s. U.C.Bhandari & Co. Chartered Accountants for scrutiny of the Books and accounts and records of the Transferor companies. The official Liquidator vide OLR No. 77/2018 dated 19.06.2018 submitted the report

dated 18.06.2018 of M/s. U.C. Bhandari & Co., Chartered Accounts, on the affairs of the Transferor Companies concluding inter alia as follows:

a) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of scrutiny of the books and papers of Transferor Companies.

b) In our opinion, proper books of accounts, statutory Registers and other related records as required by law have been kept by the transferor company so far as appears from our examination

c) On scrutiny of books of accounts, papers, statutory registers and other related records of the companies we are of the opinion that the affairs of the companies have not been conducted in a manner prejudicial to the interest of the members of the companies or public interest as per Section 232 of the Companies Act, 2013.

9. After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

10. THIS TRIBUNAL DO FURTHER ORDER

(A) While approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law; and

(B) The Whole of the property, rights and powers of the Petitioner No. 1/First Transferor Company, Petitioner No. 2/Second Transferor Company and Petitioner No. 3/Third Transferor Company be transferred without further act or deed to Petitioner No. 4/Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in Petitioner No. 4/Transferee Company for all the state and interest of Petitioner No. 1/First Transferor Company, Petitioner No. 2/Second Transferor Company and Petitioner No. 3/Third Transferor Company therein but subject nevertheless to all charges now affecting the same; and

(C) All liabilities including taxes and charges, if any and duties of the Petitioner No. 1/First Transferor Company, Petitioner No. 2/Second Transferor Company and

Petitioner No. 3/Third Transferor Company be transferred without further act or deed to Petitioner No. 4/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner No. 4/Transferee Company; and

(D) All proceedings now pending by or against the Petitioner No. 1/First Transferor Company, Petitioner No. 2/Second Transferor Company and Petitioner No. 3/Third Transferor Company, if any, be continued by or against the Petitioner No. 4/Transferee Company; and

(E) Filing of all relevant forms/returns is to be complied with in accordance with Companies Act, 2013 and allied rules by the Petitioner Companies before the dissolution of the Petitioner No. 1/First Transferor Company, Petitioner No. 2/Second Transferor Company and Petitioner No. 3/Third Transferor Company; and

(F) All employees of the Petitioner No. 1/First Transferor Company, Petitioner No. 2/Second Transferor Company and Petitioner No. 3/Third Transferor Company will become employees of the Petitioner No. 4/Transferee Company without any break or interruption of service; and

(G) This order does not in any way give exemption under Income Tax Act, 1961. The Income Tax Authorities are to decide the issue considering the extant provisions of law as they deem fit and proper. The tax implications, if any arising out of the scheme is subject to final decision of concerned Tax Authorities and the decision of the respective Tax Authority shall be binding; and

(H) The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Companies (Compromises, Arrangements And Amalgamations) Rules, 2016; and

(I) The Petitioner Companies to ensure that the stamp duty as fixed by the Inspector General of Registration and Commissioner of Stamps is paid within stipulated time under relevant provisions of law.

(J) The Appointed Date of the Scheme shall be 1st April, 2018; and

(K) The Transferee Company and its authorised representatives are directed to comply with following:

(i) Ensure that the Transferee Company spends the unspent the CSR amount within six months from the date of this order and the same recorded in the financial statements accordingly.

(ii) Pursuant to the clubbing of the authorised share capital of the Petitioner Companies, the Transferee Company shall pay the differential stamp duty and differential fee (if any) over and above the stamp duty in accordance with Section 232(3)(i) of Companies Act, 2013.

(iii) Ensure that the related party transactions are in compliance with Section 188, Companies Act, 2013 and applicable law and rectify non-compliance (in any) by making the offences good.

(iv) Ensure that the Petitioner Companies comply with foreign exchange laws including Foreign Exchange Management Act, 1999, applicable rules and regulations and law on Foreign Direct Investment issued by Reserve Bank of India and the Department of Industrial Promotion and Policy.

(L) The Registrar of Companies, Karnataka is to ensure that the Petitioner Companies comply with their affidavits dated 18th February, 2019.

(M) The Petitioner Companies shall until the completion of the Scheme, file a statement as prescribed by the Registrar of Companies every year duly certified by a chartered accountant or a cost accountant or a company secretary in practice indicating whether the scheme has been complied with in accordance with this order for the purpose of Section 232(7) of Companies Act, 2013 and Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. Further, the Transferee Company and its authorised signatory are directed to file a quarterly statement with the Registrar of Companies, Karnataka informing the Registrar of the compliance of conditions specified in this order along with a Chartered Accountant certificate; and

(N) Petitioner No. 1/First Transferor Company, Petitioner No. 2/Second Transferor Company and Petitioner No. 3/Third Transferor Company or their authorised signatories are directed that after the completion of the process of amalgamation to handover the possession of the books of accounts and other relevant documents to

Petitioner No. 4/Transferee Company for the purpose of Section 239 the Companies Act, 2013; and

(O) Any person shall be at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

ASHOK KUMAR MISHRA
(MEMBER, TECHNICAL)

RAJESWARA RAO VITTANALA
(MEMBER, JUDICIAL)